

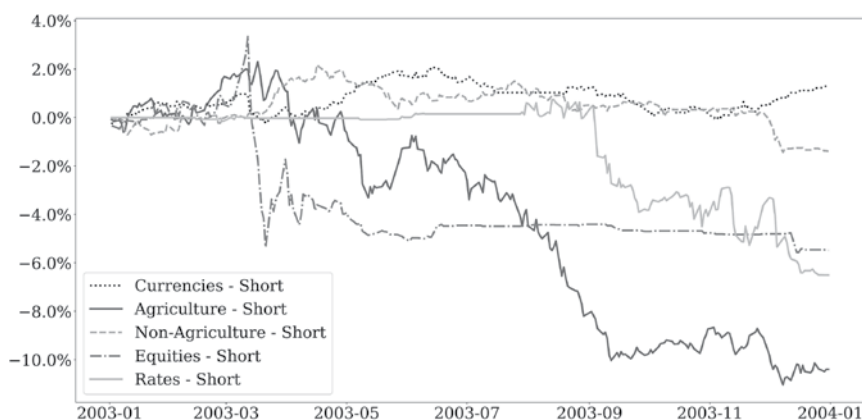


FIGURE 6.11 Short sector performance 2003.

thing that really moved this year. As you see in Figure 6.11, the short side was relatively muted and mostly lost money slowly throughout the year.

The sudden losses were not a single position suddenly gapping down, it was rather a sector rotation. A long-term shift in trends, where bulls become bears and bears become bulls. This happens at times, though rarely with such speed. The bulk of the losses came from the non-agricultural and rates sectors.

After the sudden drop, you would be forgiven for considering a career in the telemarketing sector, away from the stress of trading. But if you quit just after that drop, you would miss the drama of the rest of the year. It was a wild ride, that's for sure. In the next few months, we move slowly but steadily back up to over 20% gains again, then we lose most of it to have only a single-digit gain in August. At that point, the entire thing probably starts feeling quite pointless and random. From there we move right back up to +25%. I hope you don't have any heart issues. This industry can stress out the best of us.

We entered the year short equities, and from Figure 6.12, you can see why. With the strong bear market trend, the short side made good money for a while. But if you look closer at Figure 6.12, you see how profits in short equities spiked up in March, only to fall back down hard. The trade in the Euro Stoxx should explain this. At first, we see slow profits and then when the markets accelerate on the downside, we see a big profit spike. But as so often happens in the markets, after the strong acceleration down, we get an even strong rebound. As the markets turn up in late February, we get